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Ledger accounts

Dr. **Dinesh account** **Cr.**

Date	Particulars	J.F.	`	Date	Particulars	J.F.	`
2017							
March 15	To Cash A/c		13,800				
	To Discount received A/c		1,200				

Dr. **Cash account** **Cr.**

Date	Particulars	J.F.	`	Date	Particulars	J.F.	`
				2017			
				March 15	By Dinesh A/c		13,800

Dr. **Discount received account** **Cr.**

Date	Particulars	J.F.	`	Date	Particulars	J.F.	`
				2017			
				March 15	By Dinesh A/c		1,200



Student activity

Think: What will happen to the ledger account postings? Do you think that it will continue for an indefinite period of time? Where will the accounting process stop?

4.6 Balancing of ledger accounts

After posting the transactions, the business person is interested to know the position of various accounts. For this purpose, the accounts are balanced at the end of the accounting period or after a certain period to ascertain the net balance in each account. Balancing means that the debit side and credit side amounts are totalled and the difference between the total of the two sides is placed in the amount column as 'Balance c/d' on the side having lesser total, so that the total of both debit and credit columns are equal.

When the total of the debit side is more than the total of credit side the difference is debit balance and is placed on the credit side as 'By Balance c/d'. If the credit side total is more than the total of debit side, the difference is credit balance and is placed on the debit side as 'To Balance c/d'.